

Management and Marketing

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Topic 5: Identifying Market Segments and Targets Crafting the Brand Positioning Chapter 9-10

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Topic 5

Learning Objectives

1. In what ways can a company divide the consumer market into segments?
2. How should business markets be segmented?
3. How should a company choose the most attractive target markets?
4. What are the requirements for effective segmentation?
5. What are the different levels of market segmentation?
6. How can a firm develop and establish an effective positioning in the market?
7. How are brands successfully differentiated?

Market segment =

**A group of
customers who
share a similar set of
needs and wants**

Geographic
segmentation

Psychographic
segmentation

Bases for Segmenting Consumer Markets

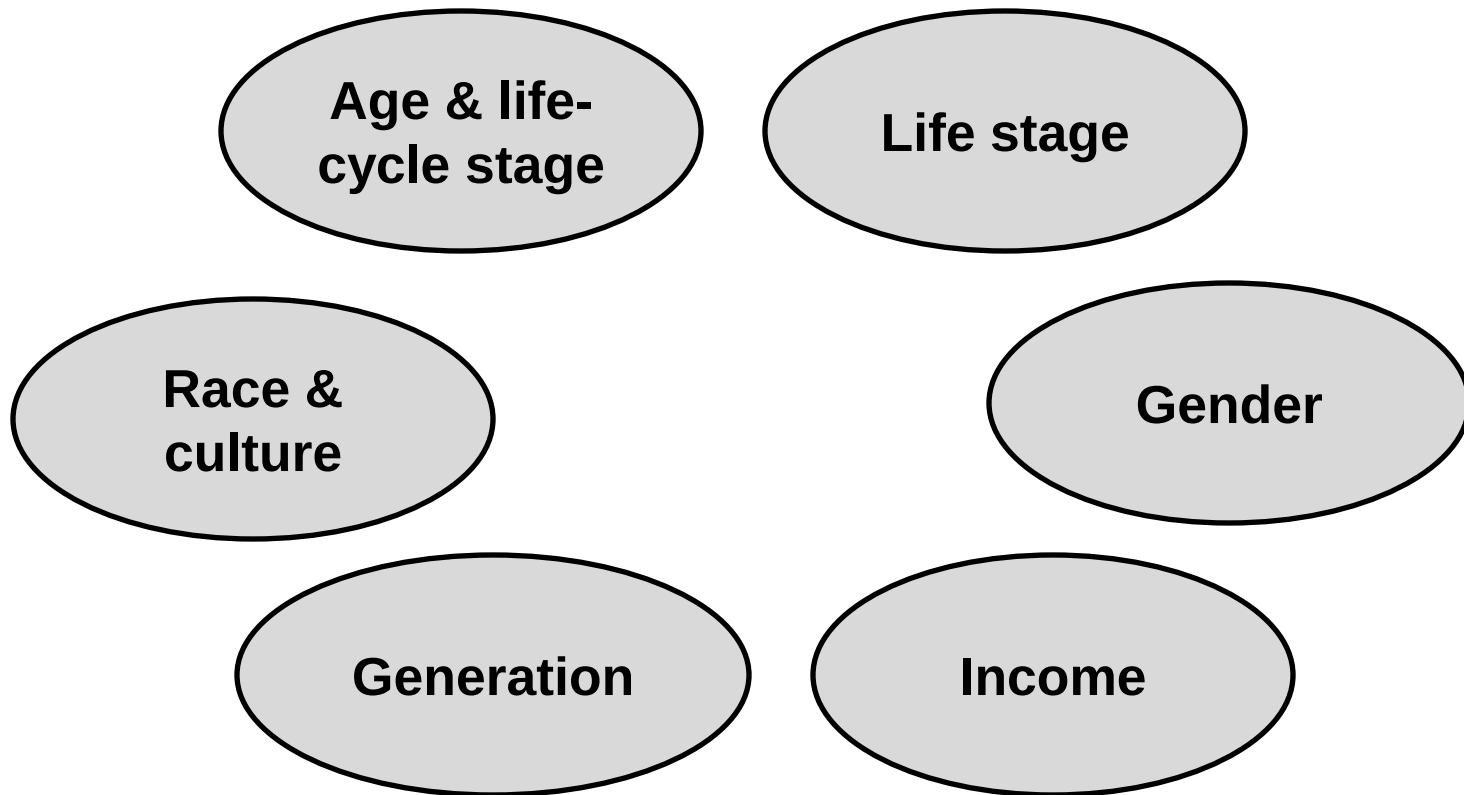
Demographic
segmentation

Behavioral
segmentation

Geographic segmentation divides the market into geographical units such as nations, states, regions, counties, cities or neighborhoods



Demographic Segmentation



Demographic Segmentation - Generations

Millennials (Gen Z)

**BORN
BETWEEN
1995-2015**

Millennials (Gen Y)

**BORN
BETWEEN
1977-1994**

Gen X

**BORN
BETWEEN
1964-1978**

Baby Boomers

**BORN
BETWEEN
1946-1964**

Silent Generation

**BORN
BETWEEN
1925-1945**



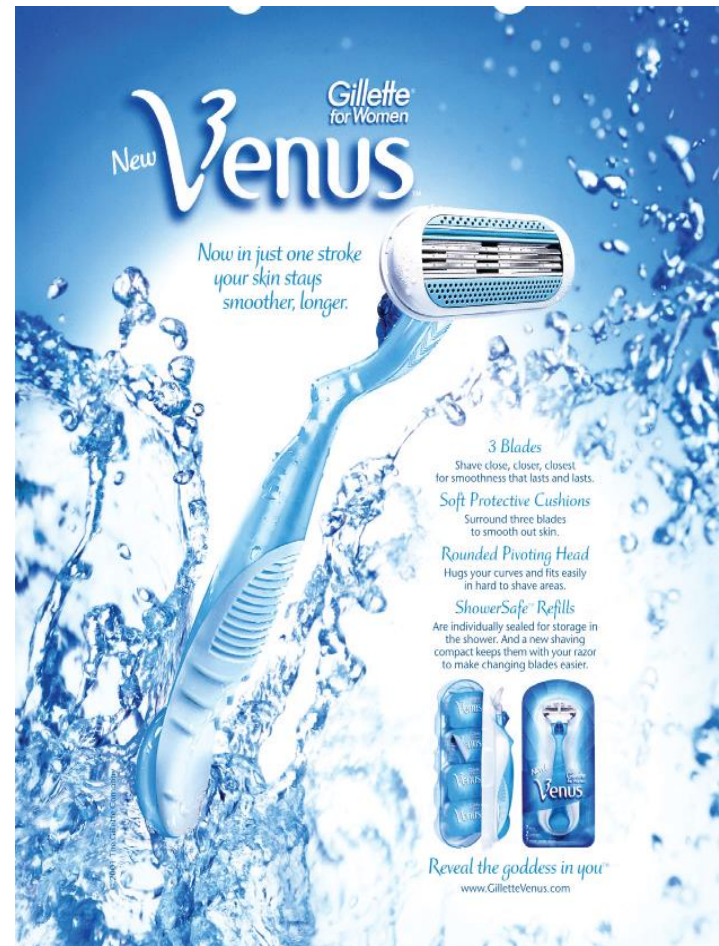
Demographic Segmentation

- **Age and life-cycle stage**
 - Our wants and abilities change with age



Demographic Segmentation

- **Gender**
 - Men and women have different attitudes and behave differently
- **Income**
 - Income segmentation is a long-standing practice in such categories as automobiles, clothing, cosmetics, travel.



- Buyers are divided into groups on the basis of psychological/personality traits, lifestyle, or values

Psychographic Segmentation



- Needs and benefits

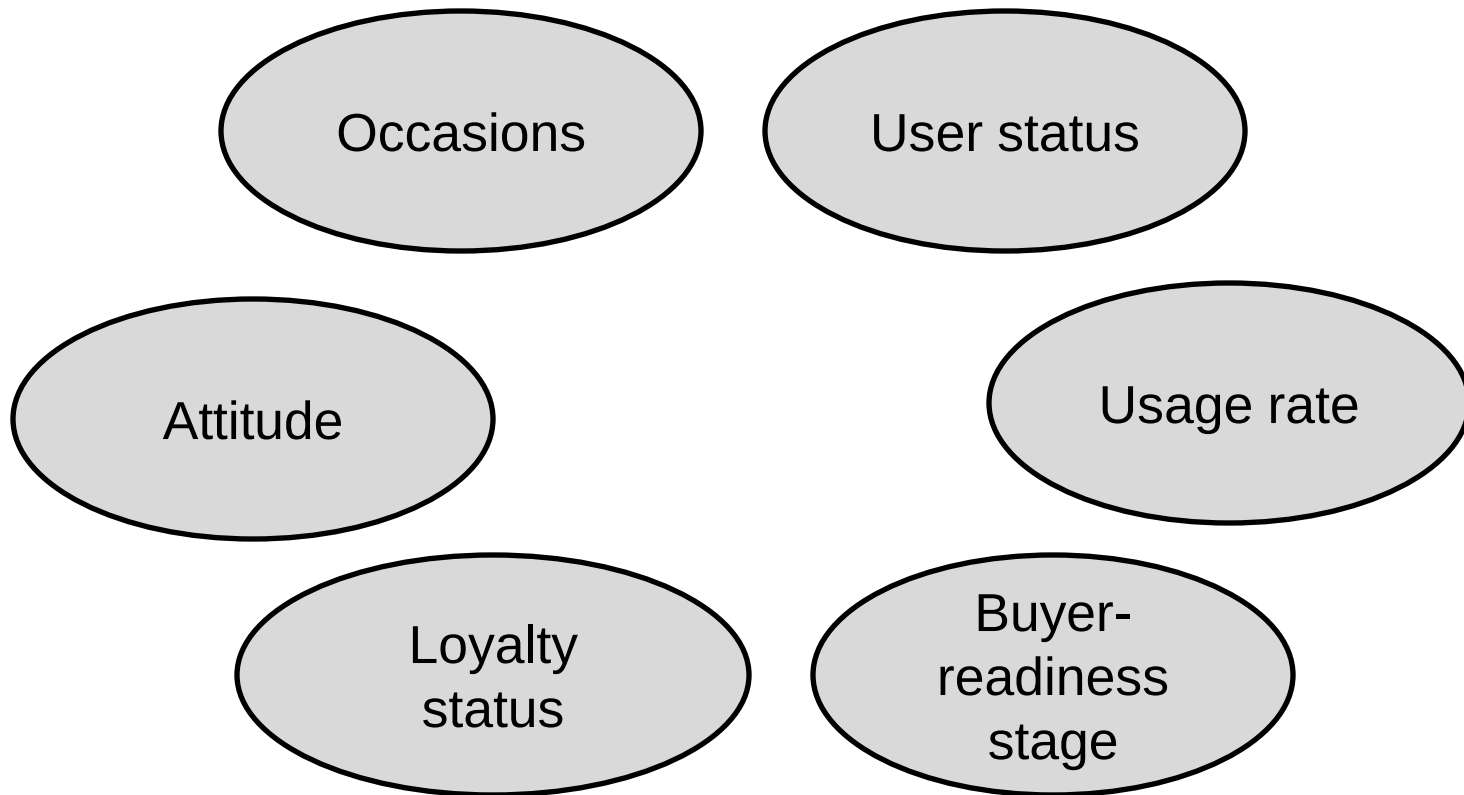


- Decision roles
 - Initiator
 - Influencer
 - Decider
 - Buyer
 - User

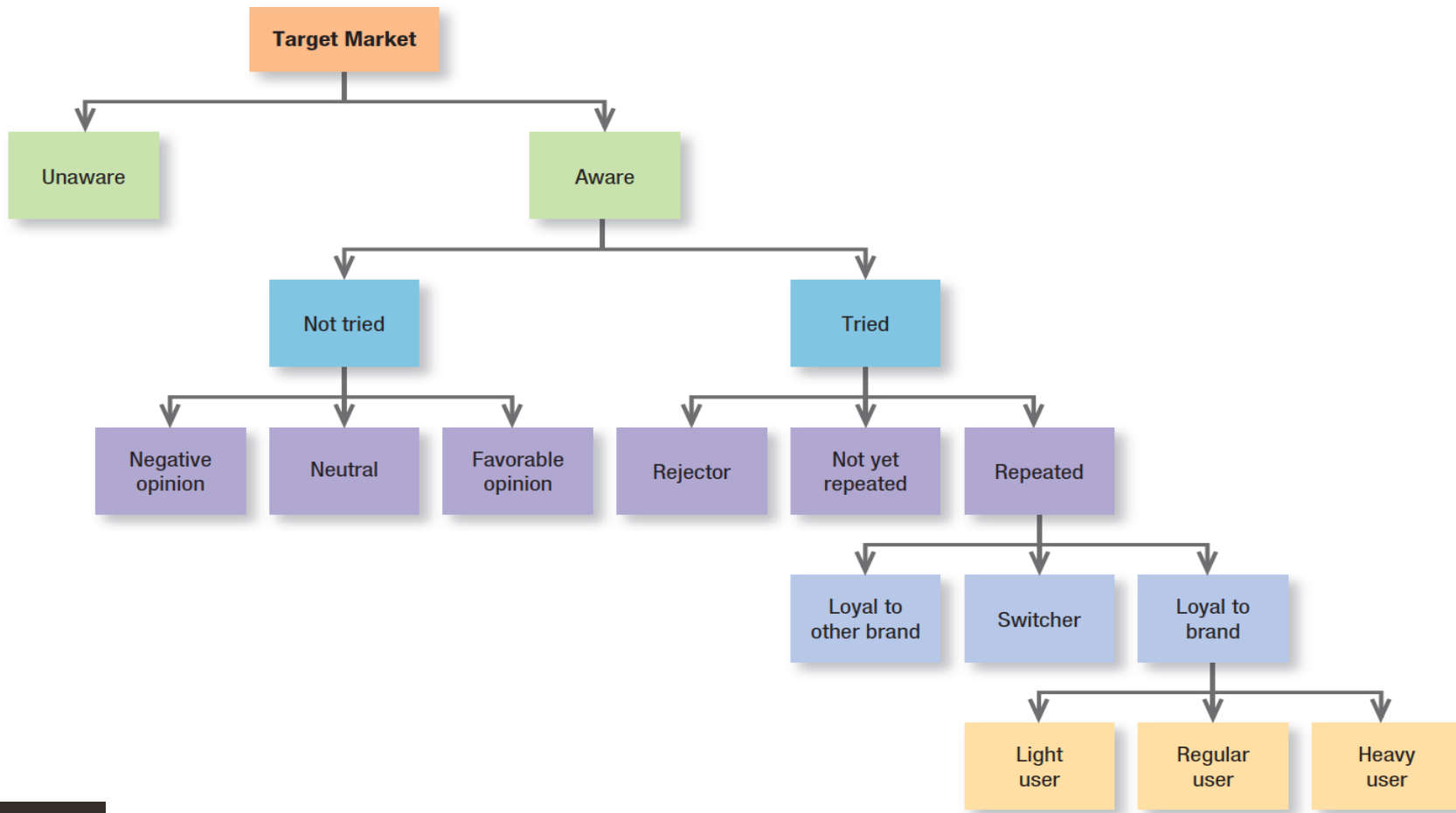
Behavioral Segmentation

Marketers divide buyers into groups on the basis of their knowledge of, attitude toward, use of, or response to a product

User and usage-related variables



Behavioral Segmentation



How Should Business Markets Be Segmented?

- ✓ Demographic
- ✓ Operating variables
- ✓ Purchasing approaches
- ✓ Situational factors
- ✓ Personal characteristics

Market Targeting

TABLE 9.6 Steps in the Segmentation Process

	Description
1. Needs-Based Segmentation	Group customers into segments based on similar needs and benefits sought by customers in solving a particular consumption problem.
2. Segment Identification	For each needs-based segment, determine which demographics, lifestyles, and usage behaviors make the segment distinct and identifiable (actionable).
3. Segment Attractiveness	Using predetermined segment attractiveness criteria (such as market growth, competitive intensity, and market access), determine the overall attractiveness of each segment.
4. Segment Profitability	Determine segment profitability.
5. Segment Positioning	For each segment, create a “value proposition” and product-price positioning strategy based on that segment’s unique customer needs and characteristics.
6. Segment “Acid Test”	Create “segment storyboard” to test the attractiveness of each segment’s positioning strategy.
7. Marketing-Mix Strategy	Expand segment positioning strategy to include all aspects of the marketing mix: product, price, promotion, and place.

Effective Segmentation Criteria

- ✓ Measurable
- ✓ Substantial
- ✓ Accessible
- ✓ Differentiable
- ✓ Actionable

Porter's five forces

**Threat of
Rivalry**

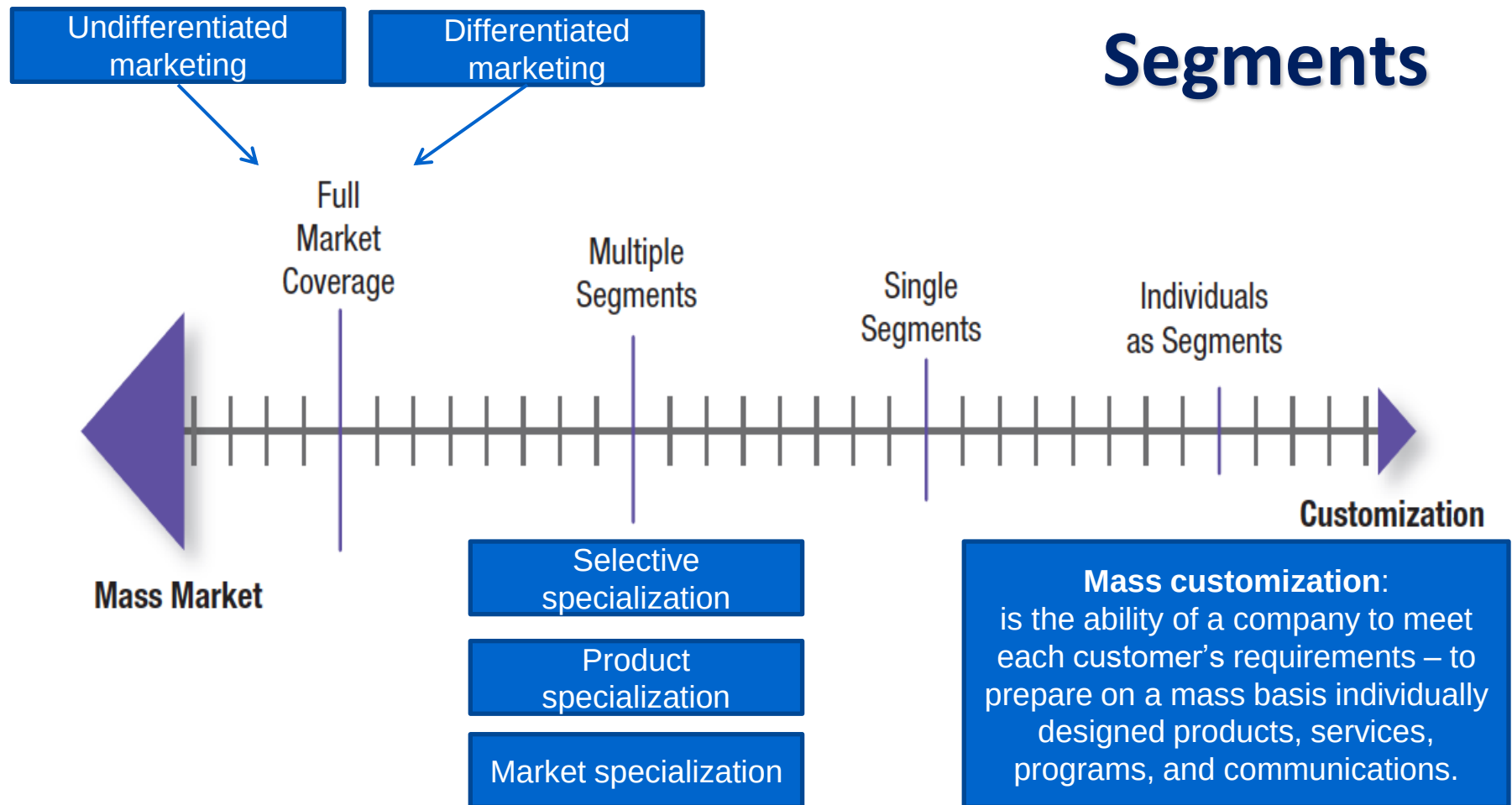
**Threat of
New Entrants**

**Threat of
Substitutes**

**Threat of
Buyer
Bargaining
Power**

**Threat of
Supplier
Bargaining
Power**

Evaluating & Selecting the Market Segments



**Profitability
premised on
volume**

**Profit from
customer
differences but
with mass
production
efficiencies**



**Mass production
versus
Mass
customization**

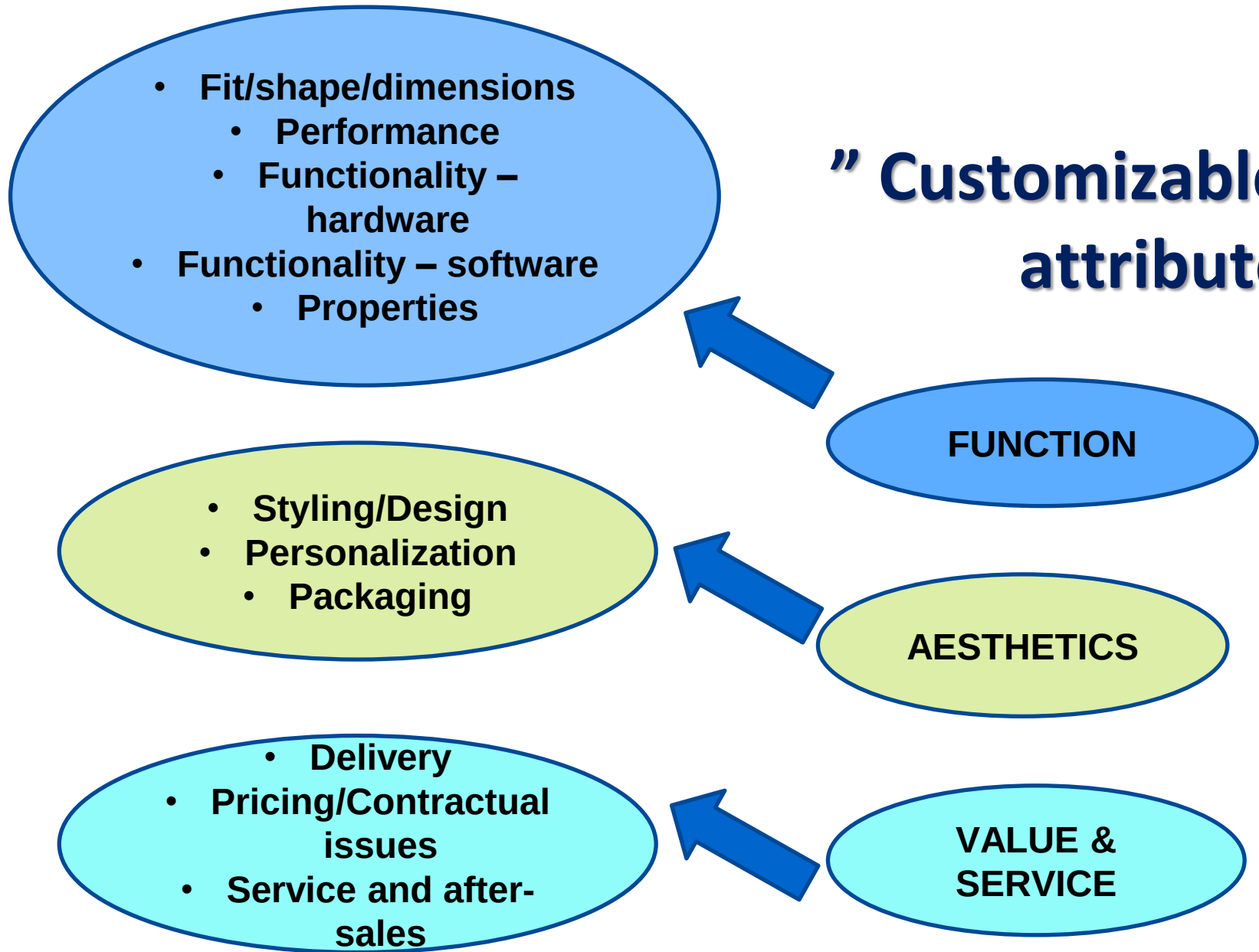


MacCarthy, 2018

Mass Customizers seek to offer **a significant level of relevant customization to a significant proportion of customers** whilst retaining the standards of efficiency, productivity, quality and responsiveness typically associated with **Mass Production**.

(MacCarthy, 2013)

” Customizable” attributes



One-to-one marketing

Identify your prospects and customers

Differentiate customers in terms of their needs and value to your company

Interact to improve your knowledge about customers' needs and to build relationships

Customize products, services, and messages to each customer

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Build your perfect vehicle using our simple configurator

- Choose your preferred model & engine
- Customise your colour & trim options
- Select from additional options then review your ideal car

MINI

Start A New Configuration



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Positioning

- The act of designing a company's offering and image to occupy a distinctive place in the minds of the target market
- Value proposition: the reason why the target market should buy the product

Developing a Brand Positioning



TABLE 10.1**Examples of Value Propositions**

Company and Product	Target Customers	Value Proposition
Hertz (car rental)	Busy professionals	Fast, convenient way to rent the right type of a car at an airport
Volvo (station wagon)	Safety-conscious upscale families	The safest, most durable wagon in which your family can ride
Domino's (pizza)	Convenience-minded pizza lovers	A delicious hot pizza, delivered promptly to your door

Competitive frame of reference

- **Defines which other brands a brand competes with and which should thus be the focus of competitive analysis**
- **Identifying and analyzing competitors**

Competitive Frame of Reference

Points-of-Difference

POD criteria

Desirable

Deliverable

Differentiating

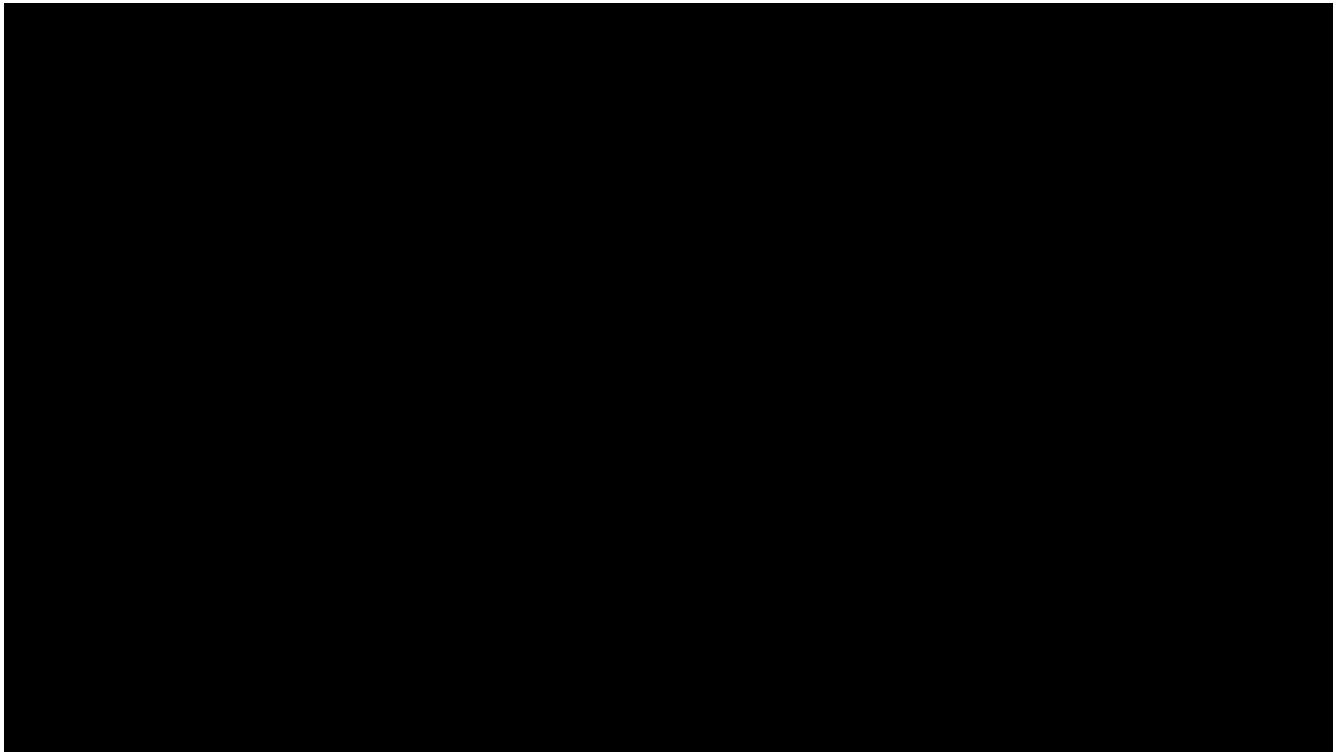
PODs are attributes or benefits that consumers strongly associate with a brand, positively evaluate, and believe they could not find to the same extent with a competitive brand.



Points-of-Parity

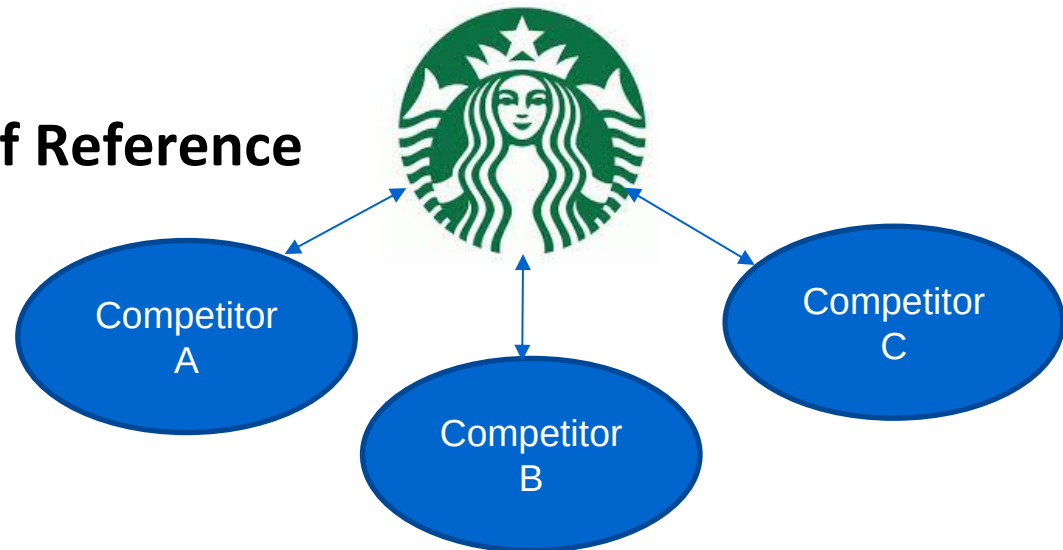
Points-of-parity (POPs)

- Attribute/benefit associations that are not necessarily unique to the brand but may in fact be shared with other brands



Points-of-Parity **versus** Points-of-Difference

- Multiple Frames of Reference



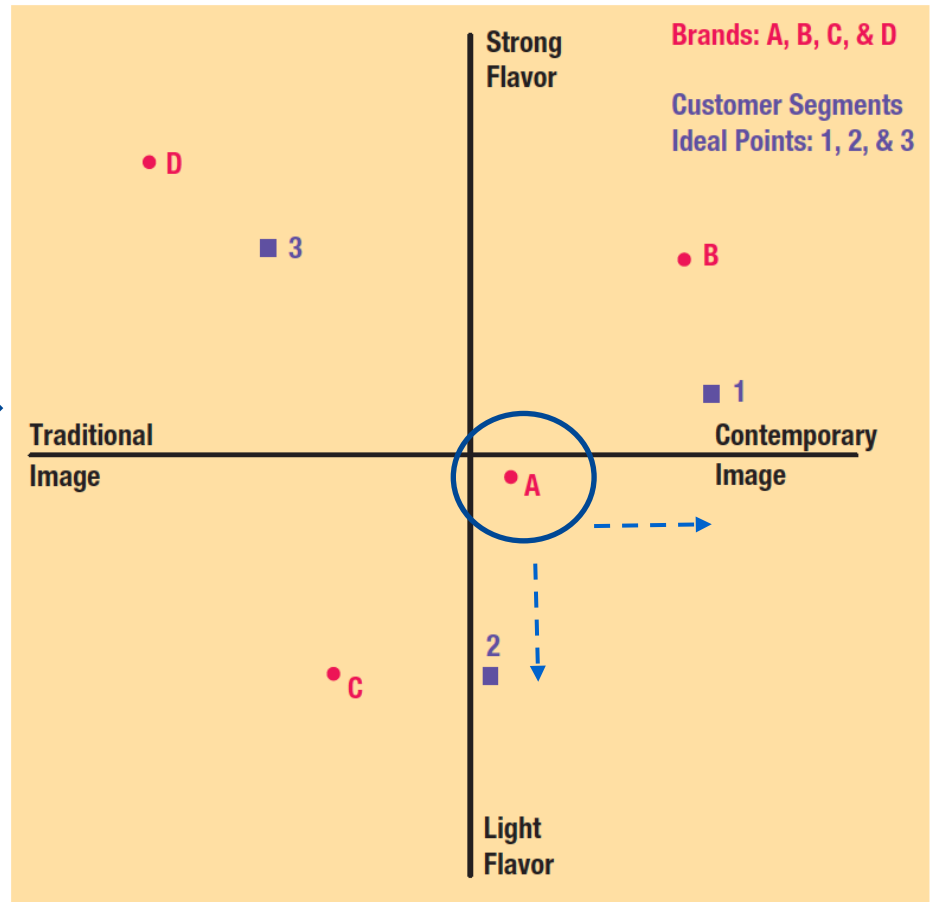
- Straddle Positioning



Points-of-Difference and Points-of-Parity

Choosing specific POPs and PODs

- Competitive advantage
- Means of differentiation
- **Perceptual map**
- Emotional branding



- **Segmentation criteria in the consumer and in the business market**
- **Criteria for effective segmentation**
- **Selecting the market segments**
- **POD and POP**

KEY TAKEAWAYS

**Thank You for Your
Attention!**

